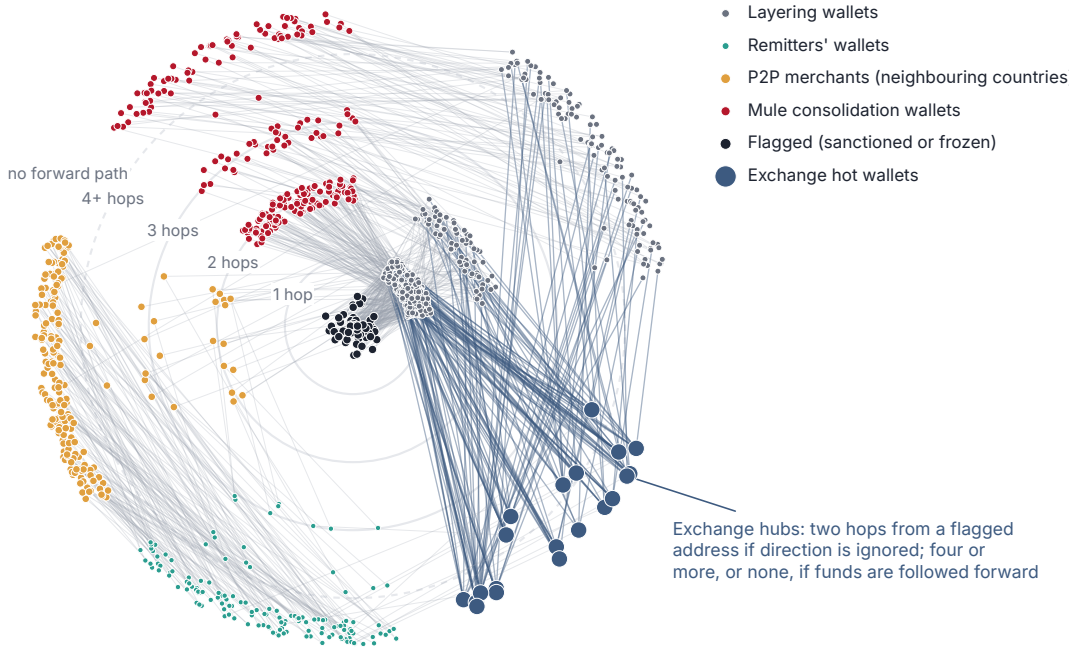
Direction matters: hop counts that ignore the flow of funds flag the wrong hubs

Nodes are placed on rings by their forward (directed) distance to the nearest flagged address. Blue lines: payments into exchange hot wallets, which make every exchange look two hops from a flagged address on the undirected graph.



SIMULATED DATA · METHOD VALIDATION ONLY

One simulated exchange-year with 2% mule accounts; a random sample of 1,070 nodes and the payments among them. Source: author's simulation.